It appears to be undisputed that Arbitration Agreement was a contract of adhesion that was required as part of the Lease Agreement. Although the Arbitration Agreement is contained within the larger Lease Agreement, the title is bolded and the font is legible. The signature page also draws attention to the Important Arbitration Disclosure section. Although Plaintiff has not established surprise, the adhesive nature of the Arbitration Agreement shows some level of procedural unconscionability.

While Plaintiff has established some degree of procedural unconscionability, she must also show substantive unconscionability. An arbitration agreement is substantively unconscionable if it is “manifestly unfair or one-sided.” (*Sanchez, supra*, 61 Cal.4th at 915.) In assessing substantive unconscionability, the “paramount consideration” is mutuality of the obligation to arbitrate. (*Nyulassy v. Lockheed Martin Corp*. (2004) 120 Cal.App.4th 1267, 1287.)

Plaintiff attempts to argue that the Arbitration Agreement is substantively unconscionable because Plaintiff was required to waive her right to jury trial. Plaintiff cites no authority for this premise which could potentially render all arbitration agreements substantively unconscionable. Plaintiff has not shown how the Arbitration Agreement is substantively unconscionable. Accordingly, they have not met their burden of establishing both procedural and substantive unconscionability.

3.

CASE #	CASE NAME	HEARING NAME
CVSW2307900	GONZALEZ VS AMERICAN HONDA MOTOR CO., INC.	MOTION FOR ATTORNEY’S FEES

Tentative Ruling: Motion is granted subject to a reduction. Plaintiff’s awarded reasonable attorney’s fees in the amount of $34,103.00 and $4,421.82 in costs.

Plaintiffs seek attorneys' fees for the total amount of $56,481.00 (consisting of the lodestar figure of $37,654.00 and a 1.5 multiplier of $18,827.00), which Plaintiffs contend are recoverable under Civil Code section 1794, subdivision (d) as reasonably necessary fees. Plaintiffs present the time record of the attorneys of the firm which represented them, for 93.5 hours billed at the various hourly rates ranging from $300 to $600. Plaintiffs also seek $4,421.82 in costs and expenses as referenced in their Memorandum of Costs.

Fees should be reduced. The fees should be reduced for interoffice conferences totaling $1,476.50, duplicative work totaling $1,849.50, and anticipated work rate adjustment of $225.00. No multiplier should apply. The hourly rates billed by Plaintiffs' attorneys up to $550 are reasonable. Therefore, Plaintiffs should recover $34,103.00 in fees and $4,421.82 in costs.

Fees are to be calculated through use of the Lodestar method.

The prevailing plaintiff in action under Song-Beverly Consumer Warranty Act, commonly known as the lemon law, is entitled to award of reasonable attorney's fees. (Civ. Code, §1794(d).) The court is to use lodestar method to determine reasonable fee. (*Doppes v. Bentley Motors, Inc.*, (2009) 174 Cal. App. 4th 967, 998.)

Under the lodestar method, the judge must first determine the lodestar figure the reasonable hours spent multiplied by the reasonable hourly rate of each attorney who was involved in presenting the case. (*Glaviano v. Sacramento City Unified Sch. Dist.* (2018) 22 Cal. App. 5th 744, 748.) When using the lodestar method, the reasonable hourly rate is the prevailing hourly rate for private attorneys in the community who conduct noncontingent litigation of the same type. (*Id.*) Prevailing hourly rates apply even when attorney represented party on contingent fee basis, charged nothing for attorney's services, charged below-market or discounted rates, or was in-house counsel. (*Id.*)

The hours billed by Plaintiffs' counsel's office should be subject to reduction -The following language of Civil Code section 1794, subdivision (d), providing for award of fees and cost to prevailing party requires trial court to base the prevailing buyer's attorney fee award upon actual time expended on the case, as long as such fees are reasonably incurred: "the buyer shall be allowed by the court to recover as part of the judgment as sum equal to the aggregate amount of costs and expenses, including attorney's fees based on *actual time expended*, determined by the court to have been *reasonably incurred by the buyer* in connection with the commencement and prosecution of such action." (Civ. Code, § 1794(d), italics added.) The starting point for this determination is the attorney's time records. (*Horsford v. Board of Trustees of Calif. State Univ.* (2005) 132 Cal.App.4th 359, 395-397.) The approach to determining reasonable attorney fee award under Song-Beverly Consumer Warranty Act is "consistent with approach to determining a reasonable attorney fee in various statutory and contractual contexts, which 'ordinarily begins with the "lodestar," i.e., the number of hours reasonably expended multiplied by the reasonable hourly rate. (*Warren v. Kia Motors America, Inc.* (2018) 30 Cal.App.5th 24, 36.)

"Testimony of an attorney as to the number of hours worked on a particular case is sufficient evidence to support an award of attorney fees, even in the absence of detailed time records." (*Martino v. Denevi* (1986) 182 Cal.App.3d 553, 559.) "In challenging attorneys fees as excessive because too many hours of work are claimed, it is the burden of the challenging party to point to the specific items challenged, with a sufficient argument and citations to the evidence." (*Premier Medical Management Systems, Inc. v. California Ins. Guarantee Assn.* (2008) 163 Cal.App.4th 550 564 (Premier Medical).) "General arguments that fees are excessive, duplicative, or unrelated do not suffice." (*Ibid*.) A challenge to reasonableness of fees must be supported by evidence by citation to record and explanation of which fees are challenged. (*Id.* at 562.)

Here, Defendant accurately points out that the use of 13 attorneys at the same firm working on the same case and often billing on the same task or matters contributes to padded billing practices, which can be apparent from the amount of inter-office meetings and correspondences exchanged between attorneys at the Plaintiffs' counsel's law firm. (Opposition, 2:21-28.) A general review of the firm's time entries reflects significant inefficiencies and administrative clerical work being performed by 13 attorneys at rates as high as $600 per hour. (*Id.*)

There are a number of factors that a judge may consider in determining that a reduction in fees is warranted. (*Morris v. Hyundai Motor America* (2019) 41 Cal.App.5th 24, 4 (Morris).) "In evaluating whether the attorney fee request is reasonable, the trial court should consider ‘ “ ‘whether the case was overstaffed, how much time the attorneys spent on particular claims, and whether the hours were reasonably expended.’ ” ’ [Citation.]” (*Id*. at 38.) “ ‘A reduced award might be fully justified by a general observation that an attorney overlitigated a case or submitted a padded bill or that the opposing party has stated valid objections.” ’ [Citation.]” (*Ibid*.) Based on the general observation, the fees billed by Plaintiff’s attorneys do not appear excessive or unreasonable. However, based on the general observation, certain reductions to the fees billed by Plaintiffs' attorneys are warranted.

Fees should be reduced for interoffice conferences. The billing records reflect 23 entries totaling $1,476.50 for inter-office communications, which reflect the inherent inefficiencies of staffing 13 attorneys and contribute to padded billing. These entries are: 6/6/2022 ($35); 6/13/2022 ($35); 6/28/2022 ($37.50); 7/18/2022 ($35); 7/25/2022 ($35); 8/1/2022 ($35); 11/18/2022 ($112.50); 11/18/2022 ($70); 12/1/2022 ($262.50); 1/6/2023 ($39.50); 3/8/2023 ($79); 3/13/2023 ($39.50); 10/2/2023 ($39.50); 10/13/2023 ($39.50); 1/15/2024 ($135); 1/29/2024 ($42.50); 6/18/2024 ($39.50); 6/26/2024 ($75); 6/27/2024 ($75); 7/2/2024 ($45); 10/7/2024 ($37.50); 10/22/2024 ($42.50); 11/13/2024 ($90).

Fees should also be reduced for duplicative work. The billing records reflect 5 entries totaling $1,849.50 for duplicative work made necessary by overstaffing this matter with multiple attorneys. These entries are: 7/26/2022 ($1,015); 9/20/2022 ($75); 11/23/2022 ($35); 3/12/2023 ($544.50); 1/16/2024 ($180).

Regarding anticipated work: Plaintiff seeks $2,700 for 4.5 hours of work anticipated for reviewing the opposition and drafting a reply at $600/hour. The reply was not accompanied by counsel's declaration corroborating the anticipated hours demanded. However, 4.5 hours is reasonable for the work involved in submitting a reply to the opposition. Nevertheless, the hourly rate of $600 is not justified and should be reduced to $550. Rate reduction: 4.5 x ($600-$550) = $225.

Hence, the fee award should be subject to total reductions of: $1,476.50 + $1,849.50 + $225 = $3,551.00.

No multiplier should be applied - The trial court has the discretion to increase or decrease the lodestar figure by applying a positive or negative multiplier based on many factors. (*Glaviano, supra,* 22 Cal.App.5th at 751.) The court may consider factors unique to the case such as risks associated with contingent fee, quality of work, novelty and complexity of issues, and results obtained. (*Graham v. DaimlerChryserl Corp.* (2004) 34 Cal.4th 553, 579-580.) The decision to apply multiplier is entirely discretionary. (*Galbiso v. Orosi Pub. Util. Dist.* (2008) 167 Cal.App.4th at 1089.) The purpose of a fee enhancement is “primarily to compensate the attorney for prevailing party at a rate reflecting the risk of nonpayment in contingency cases as a class.” (*Ketchum v. Moses* (2001) 24 Cal.4th 1122, 1138.)

Plaintiffs seek the court to award a multiplier of 1.5 times the lodestar figure. Plaintiffs argue that their attorneys represented them while undertaking the risk of litigating the case on a fully contingent basis and being paid for their services. However, Plaintiffs' counsels claim to have significant experience and specialized knowledge in handling of lemon law cases. That would imply that the law firm managed by seasoned litigators in the field possess the ability to properly evaluate the strength of and the probability of success on a case, and the associated risk before taking it on. Having handled numerous similar cases and prevailed, Plaintiffs' attorneys could have understood the risk of recovery in this case was not high. The settlement amount over three years after filing without engaging in extensive trial litigation shows lack of such risk. Thus, no multiplier should apply in increasing the amount of fee recovery.

The reasonableness of attorneys' hourly rates -Attorney’s fees under the lodestar method is to be “based on the prevailing hourly rates for comparable legal services in the community.” (*Premier Medical, supra*, 163 Cal.App.4th at 558.)

Here, the hourly rates billed by Plaintiffs' attorneys, ranging from $300 to $600, include rates as high as $600 charged by Mr. Kirnos for anticipated reply work. Hourly rates up to $550 are consistent with the rates of lemon law attorneys that have been approved by the Courts in Riverside County. The rate of $600 charged by Mr. Kirnos for anticipated reply work is not justified and should be reduced to $550.

In sum, the fees should be reduced by $3,551.00 for interoffice conferences, duplicative work, and anticipated work rate adjustment. No multiplier should apply. Defendant has otherwise presented no grounds for further reduction of fees or adjustment of hourly rates.